

I conducted an in-depth study of pipe bottoms on *daily* price charts and was disappointed. The statistics showed that daily pipes had a failure rate of 18% with an average gain of 33%. Almost half of the patterns (45%) had gains less than 20%. However, there were a number of large winners: Almost a quarter of the daily pipes (23%) had gains over 50%.

I saw potential.

I began to believe that an investor trading daily pipes would either pick a pattern that failed or one that had such a small gain as to be unprofitable. I discarded the research and looked at the *weekly* chart.

Pipe bottoms on the weekly scale have a low failure rate and a high average rise. Even so, performance ranks last out of three pattern types on the weekly scale. Because this pattern uses the weekly scale, the search for the ultimate high overlooks situations that would stop the search and reduce the average rise when applied to the daily scale. Thus, the numbers are not comparable to chart patterns on the daily scale.

## Tour

[Figure 49.1](#) shows a pipe bottom and the price appreciation that results. The chart is on the weekly scale, and you can see that price began dropping in mid-October 1993, down to the start of the pipe. Volume picked up during the left pipe spike and was even higher the following week. The two downward price spikes, of almost equal length and overlapping, mark a turning point, a signal that the decline was over.

From the low, price moved up smartly and reached a new high in early November, a climb of almost 120% in just 9 months. For this chart pattern, such large gains are not unusual. Almost 35% of pipes in bull markets have gains over 50%.